

FEDERAL MARITIME COMMISSION

SANTA FE DISCOUNT CRUISE
PARKING, INC., d/b/a EZ CRUISE
PARKING; LIGHTHOUSE
PARKING INC.; and SYLVIA
ROBLEDO d/b/a 81st DOLPHIN
PARKING

v.

THE BOARD OF TRUSTEES OF
THE GALVESTON WHARVES and
THE GALVESTON PORT
FACILITIES CORPORATION

Docket No. 14-06

Served: January 13, 2017

BY THE COMMISSION: Mario CORDERO, *Chairman*; Rebecca F. DYE, Michael A. KHOURI, William P. DOYLE, and Daniel B. MAFFEI, *Commissioners*.

Order Affirming Initial Decision's Dismissal of Complaint

I. INTRODUCTION

This matter is before the Federal Maritime Commission (Commission) on Complainants' filing of Exceptions to the

Administrative Law Judge's (ALJ) Initial Decision. In their First Amended Verified Complaint (Complaint), Complainants alleged that Respondents violated 46 U.S.C. §§ 41102(c), 41106(2), 41106(3) (sections 10(d)(1), 10(d)(4), and 10(d)(3) of the Shipping Act of 1984 (Shipping Act or Act), respectively). On November 21, 2014, Respondents filed a motion to dismiss. The ALJ granted the motion in part and dismissed Complainants' claims regarding § 41102(c) and § 41106(3).

On December 4, 2015, the ALJ issued an Initial Decision dismissing Complainants' remaining claim regarding § 41106(2). Complainants and Respondents filed their Exceptions and Reply to the Exceptions on January 11, 2016, and February 2, 2016, respectively.

For the reasons discussed below, the Commission affirms the Initial Decision dismissing Complainants' § 41106(2) claim against Respondents.

II. BACKGROUND

A. Factual background.

The Board of Trustees of the Galveston Wharves (Board) and the Galveston Port Facilities Corporation (GPFC) (collectively Respondents or Port) operate a cruise ship terminal complex on Galveston Island, Galveston, Texas. FF 1.¹ Respondents are marine terminal operators (MTO) within the meaning of the Shipping Act. FF 2. The Board created GPFC to facilitate the financing, construction, and operation of the Galveston Island Cruise

¹ The Initial Decision includes well-organized Findings of Fact. Initial Decision at 12-25. The numbered Findings of Fact in the Initial Decision will be cited as "FF." All citations of underlying documents for each Finding of Fact are omitted. Complainants, in their Exceptions, object to FF 80 that Note D did not provide a mechanism to determine "billable parking spaces" for hotels. Complainants' Exceptions at 3. Respondents disagree with FF 26 that hotels are off-port parking users. Respondents' Reply at 8.

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Terminals. FF 6. The lease agreements between the Board and GPFC deny GPFC the right to assess and collect fees published in the Tariff, and GPFC has never billed or collected Access Fees from Complainants. FF 7-8.

Santa Fe Discount Parking, Inc. d/b/a EZ Cruise Parking (EZ Cruise), Lighthouse Parking, Inc. (Lighthouse), and Sylvia Robledo d/b/a 81st Dolphin Parking (Dolphin) (collectively Complainants) are private companies that own and/or operate parking lots located outside the port within a few blocks of the cruise terminals. FF 9. Complainants are in the business of providing cruise passengers with parking lots while they are on cruise, and virtually all of Complainants' customers are cruise passengers seeking to park their vehicles during their cruises. FF 10. Each Complainant operates shuttles to transport customers with their luggage directly to and from the cruise terminal. FF 11.

On October 27, 2003, the Port issued Tariff Circular No. 6, Naming Rules and Regulations Governing Dockage, Shed Hire, and Other Services and Charges Applying at the Facilities of the Galveston Wharves. FF 14. The Tariff originally defined "commercial passenger vehicle" as:

[A] motor vehicle while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:

- (A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or
- (B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be a presumption that a motor vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

FF 15. The definition was amended in 2007 by changing the opening clause to read “a motor vehicle *not otherwise defined in this Tariff* while it is used . . .” and the definition has not changed since then. FF 16-17 (emphasis added). Complainants operate commercial passenger vehicles. FF 18.

The Tariff provides the definition of “ground transportation company” as any person or entity (other than the Port and its contractors) owning or operating a “commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.” FF 19. Complainants are ground transportation companies. FF 21.

The Tariff also includes the term “off-port parking user,” which was originally defined as:

a commercial business entity which provides or arranges for one or more commercial passenger vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

FF 22. In 2006, the definition of “off-port parking user” was amended by inserting “courtesy vehicles” between “commercial passenger vehicles” and “buses and shuttles,” and the definition has not changed since then. FF 23-24. Complainants are off-port

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parking users within the meaning of the Tariff Circular No. 6. FF 25.

The 2003 Tariff Circular No. 6 required ground transportation companies to obtain a port use permit by paying an initial licensing fee of \$250.00 and an annual renewal fee of \$50.00 in order to conduct activities on or in connection with the cruise terminal. FF 28. In addition, the Tariff imposed an access fee on commercial passenger vehicles operated by ground transportation companies as follows:

Note C. In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27 (Cruise Ship Terminal Complex), shall be subject to the following decal or access fees for each vehicle that shall have such access:

<u>Type of Vehicle</u>	<u>Decal and Access Charge</u>
Bus, Charter Bus. Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Bus and Shuttle or Bus [sic]	\$10.00 per Access/Trip
Limousines	\$10.00 per decal per vehicle, annually

Taxi and Taxicabs	\$7.50 per decal per vehicle, annually
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FF 29. The Port did not initiate collection of the access fees until September 1, 2004, when the Board instructed port staff to fully implement the tariff and begin invoicing port users for access fees effective January 1, 2005. FF 30. On May 20, 2005, the Port sent a notice and the first invoices for fees users had incurred since January 1, 2005. FF 31.

Complainants did not pay the access fees, and Complainants and the Port entered into negotiations to resolve the access fees owed by Complainants. FF 32-35. On October 15, 2005, EZ Cruise wrote a letter to the Port contending that the \$10.00 fee for each trip was “too high and would greatly affect [their] ability to provide a quality service to the thousands of customers who come to Galveston each year to experience a cruise.” FF 36. EZ Cruise proposed that the Port adjust EZ Cruise’s current fees to “a flat rate of \$1,000.00 per month for all shuttles used by EZ Cruise Parking, beginning January 2005. The flat fee is much easier for a start-up company, such as ours to budget and reflect expenses for reports at our monthly shareholder meetings” and would permit them unlimited access. FF 37. As part of the negotiations, on June 14, 2006, EZ Cruise proposed a payment of \$20,000.00 to satisfy all outstanding port access fees for EZ Cruise and for Galveston Limousine Service, which is not a party in this proceeding but transported some EZ Cruise customers at the request of EZ Cruise to and from the cruise terminal for the period of January 2005 to March 2006. FF 38. EZ Cruise rejected the Port’s proposal of a flat monthly fee of \$2,500 for unlimited access, and offered a proposed monthly fee of \$1,200. FF 39. The Port rejected EZ Cruise’s proposal of \$1,200 flat monthly fee, while stating that “the Port may be willing to consider a sliding scale that would permit a discount to those heavy users of the Port, like your business, after a certain number of trips during a month and a possible maximum cap on the monthly charge.” FF 41.

After those negotiations, the Port and Complainants eventually agreed on a flat access fee of \$8.00 per month for each space in Complainants' parking lots that would allow unlimited access to the cruise terminal for Complainants' shuttles. FF 42. On August 28, 2006, by adding Note D, the Port amended Tariff Circular No. 6 to revise the access fee to be paid by off-port parking users:

Note D. Those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27 (Cruise Ship Terminal Complex) as of August 15, 2006 shall, in lieu of the \$10.00 per Access/Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed by the Galveston Wharves. The \$8.00 Access Fee will be effective on and after August 15, 2006.

FF 44. The August 28, 2006, amendment did not change the per trip access fees imposed on other ground transportation companies by Note C. FF 45.

Complainants and the Port agreed to apply the \$8.00 per space flat monthly rate retroactively to January 2005 to recalculate access fees that Complainants had incurred, but had not paid. FF 46. As a result of the retroactive application of the \$8.00 per space flat monthly rate, EZ Cruise, Lighthouse, and Dolphin each saved \$52,250.00, \$5,110.00, and \$13,910.00 respectively. FF 47-49. The

Port amended some provisions of Tariff Circular No. 6 in 2007, but did not change the \$8.00 per space flat rate until shortly before Complainants commenced this proceeding in June 2014. FF 50-54, 66, 68. From 2006 to the date Complainants initiated this proceeding, the Port calculated access fees for Complainants at the \$8.00 per parking space per month flat rate while it continued to calculate access fees for hotel shuttles at the per trip rate as set forth in Note C. FF 56-58, 63, 81. At the request of Complainants and when appropriate, the Port adjusted the number of parking spaces used to calculate Complainants' access fees, resulting in a decrease or increase in the monthly fee. FF 55-58. Until shortly before commencing this proceeding, Complainants did not complain to the Port regarding the \$8.00 per space per month flat rate formula. FF 59.

On May 19, 2014, the Port again amended Tariff Circular No. 6 and made the amendment effective July 1, 2014. FF 64. The amendment precipitated Complainants' initiation of this proceeding on June 16, 2014. FF 68. The May 19, 2014, amendment changed the decal and per trip access fees for ground transportation companies:

Note C. In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing Cruise Terminal 1/Texas Cruise Ship Terminal on Galveston Island®, or Cruise Terminal 2/Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall be subject to the following decal and/or access fees for each vehicle that shall have such access:

<u>Type of Vehicle and Vehicle Seating Capacity</u>	<u>Decal and Access Charge</u>
Charter Bus Owners and Operators (**As noted in Notes D & E, below)	\$60.00 Parking Fee
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of fifteen (15) persons or more (**Except as noted in Notes D & E, below)	\$25.00 per per decal per vehicle annually and \$30.00 per Access/Trip
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of less than fifteen (15) persons (**Except as noted in Notes D & E, below)	\$15.00 per per decal per vehicle, annually and \$20.00 per Access/Trip
Taxicabs with City of Galveston Permit	\$7.50 per decal per vehicle, annually

Resp. App. at 322; FF 65. The Port also significantly increased the flat monthly rate per space from \$8.00 to \$28.88, FF 66, to calculate Complainants' fees for unlimited access to the cruise terminal:

Note D. Those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/Trip

fee, be subject to a monthly Access Fee equal to the amount of \$28.88 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. The Access Fee will be effective on and after July 1, 2014.

On June 16, 2014, Complainants filed their Complaint with the Commission alleging that the Port violated the Shipping Act. FF 68. Complainants also filed a complaint in the United States District Court for the Southern District of Texas, seeking declaratory and injunctive relief pursuant to the Federal Declaratory Judgment Act, 28 U.S.C. § 2201, and a preliminary injunction pursuant to the Shipping Act that would bar the Port from enforcing the amended Tariff. FF 69. On August 5, 2014, the district court entered an agreed order permitting Complainants in this proceeding to deposit the new monthly access fee in excess of \$8.00 per parking space per month into the court registry. FF 70.

On September 22, 2014, the Port again amended the Tariff. FF 71. Fees for other ground transportation companies were not changed. FF 72. For off-port parking users, however, the amendment rescinded the May 19, 2014, Note D increase of the flat rate fee to \$28.88 and returned to the flat rate of \$8.00 per parking space per month through September 2014; rescinded, effective October 1, 2014, the provision that determined the access fee for off-port parking users as a multiple of the number of parking spaces; and effective October 1, 2014, imposed on Complainants the access fee per trip identical to that imposed to other port users:

Note D. Prior to October 1, 2014, those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston

Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall, in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. In addition Off-Port Parking Users shall pay a decal fee of \$15.00 per decal per vehicle annually. This Access Fee and decal fee will be effective until October 1, 2014.

Beginning on October 1, 2014, all Off-Port Parking Users, as defined herein, shall be governed by the Provision of Note C above.

FF 73. The Port assessed Complainants' access fees at the \$8.00 flat rate for July-September 2014. FF 74. Beginning October 1, 2014, the \$8.00 per space per month access rate was eliminated, and the Port began assessing access fees for all commercial passenger vehicles except taxicabs on a per-trip basis. FF 75.

B. Procedural background.

On June 16, 2014, Complainants filed with the Commission their original complaint. Complainants initially alleged that Respondents violated 46 U.S.C. § 41102(c), § 41106(2), and § 41106(3). Section 41102(c) provides that:

(c) Practices in Handling Property.— A . . . marine terminal operator . . . may not fail to establish,

observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

Section 41106(2) and (3) provide that:

A marine terminal operator may not—

...

- (2) give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person; or
- (3) unreasonably refuse to deal or negotiate.

In particular, Complainants claimed that Respondents violated the Shipping Act provisions because Complainants would be charged \$28.88 per space monthly access fees, while other ground transportation companies including hotels were charged access fees per trip. Original Complaint at 11-12, 15, 19, 22, 24-26.

On September 22, 2014, the Port rescinded the increase of the monthly flat rate to \$28.88 for off-port parking users effective July 1, 2014, and returned to the flat rate of \$8.00 per parking space per month through September 2014. FF 73. The Port also rescinded, effective October 1, 2014, Note D under which off-port parking users were charged per parking space per month, and imposed on Complainants the access fee per trip identical to that for other port users effective October 1, 2014. FF 73. Complainants, however, continued this proceeding by filing with the Commission their Amended Verified Complaint on October 21, 2014. The amended Complaint was “substantially identical to the original Complaint,” but added “allegations regarding events subsequent to the filing of the original Complaint.” Initial Decision at 8.

On October 21, 2014, the same day Complainants filed their Amended Verified Complaint, the Port filed a motion to dismiss. On November 21, 2014, the ALJ issued an Order on Pending

Motions and Partial Dismissal, granting in part and denying in part the Port's motion. *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, 33 S.R.R. 1283 (ALJ 2014). The Port's motion to dismiss was granted regarding the claims of violations of § 41102(c) and § 41106(3), and those claims were dismissed with prejudice. The Port's motion to dismiss was denied regarding the claim of violation of § 41106(2). Neither party filed exceptions to the ALJ's Order, and on December 23, 2014, the Commission issued a Notice Not to Review, rendering the Order administratively final.

On December 4, 2015, the ALJ issued an Initial Decision dismissing Complainants' remaining claim regarding § 41106(2). Complainants and Respondents filed their Exceptions and Reply to the Exceptions on January 11, 2016, and February 2, 2016, respectively.

III. DISCUSSION

A. Complainants' reiteration of dismissed claims.

In their Exceptions, Complainants reiterated, as part of the discussion of their original and amended Complaint their claims, that Respondents violated § 41102(c) and § 41106(3). Complainants' Exceptions at 10-15. Rule 227 of the Commission's Rules of Practice and Procedure provides that any party may appeal an order dismissing a proceeding in whole or in part within 22 days after service of the order. 46 C.F.R. § 502.227(b). The Rule further states that in the absence of an appeal, such an order becomes the order of the Commission 30 days after service, unless the Commission determines to review the order. 46 C.F.R. § 502.227(c). As discussed in the procedural background above, Complainants' § 41102(c) and § 41106(3) claims were dismissed by the ALJ's Order dated November 21, 2014. The dismissal became administratively final by the Commission's Notice Not to Review served on December 23, 2014.

Therefore, to the extent that Complainants intended the reiterations of their § 41102(c) and § 41106(3) claims to serve as an appeal of the ALJ's Dismissal Order, the appeal is summarily denied as untimely.

B. Complainants' claim against the Galveston Port Facilities Corporation.

The ALJ stated that even though the Port asserted that Complainants' claim against GPFC should be dismissed, "Complainants [did] not respond to this argument in their reply brief." Initial Decision at 25. The ALJ dismissed the claims against GPFC as "Complainants ha[d] not proved by a preponderance of the evidence that GPFC committed a violation or is liable to Complainants for a violation of the Shipping Act." *Id.*

In their Exceptions, Complainants did not address the ALJ's dismissal of their claims against GPFC. In any event, Complainants' claims against GPFC are without merit because GPFC never billed or collected access fees from Complainants. FF 7-8. The ALJ therefore correctly dismissed Complainants' claims against GPFC.

C. Complainants failed to demonstrate that the Port violated § 41106(2) by giving any undue or unreasonable preference or advantage or imposing any undue or unreasonable prejudice or disadvantage.

1. Standard of review and burden of proof.

Under the Commission's rules of practice and procedure, where exceptions are filed to an ALJ's initial decision, the Commission has "all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ's Initial Decision *de novo* and may enter its own findings.

Complainants alleged that the Port violated § 41106(2) because "the Port calculated the access fee on Complainants at the \$8.00 flat rate while it calculated access fees for other commercial passenger vehicles at the per trip rate." Initial Decision at 9. For § 41106(2) claims, the Commission has, in past cases, stated that a complainant must show that (1) the complainant and another person or entity are similarly situated or in a competitive relationship, (2) the complainant and the other person or entity were accorded different treatment by the respondent, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of the injury. *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1270 (FMC 1997) (citation omitted). As explained in more detail below, however, the Commission has only required complainants to prove the first element in certain types of cases, and the first element does not appear applicable in this case.

Under the Administrative Procedure Act, Complainants have the burden of proving, by a preponderance of the evidence, that the Port violated the Shipping Act, and this burden of proof does not shift. *See* 5 U.S.C. § 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 33 S.R.R. 821, 841 (FMC 2014); *DSW Int'l, Inc. v.*

Commonwealth Shipping, Inc., 32 S.R.R. 763, 765 (FMC 2012).² Complainants have “the burden of proving that [they] w[ere] subjected to different treatment and w[ere] injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres*, 27 S.R.R. at 1270.

Even though Complainants showed that they were accorded different treatment compared to other port users, Complainants failed to demonstrate that they suffered any injury because of the Port’s different treatment. Therefore, the ALJ’s dismissal of Complainants’ § 41106(2) claim was proper.

2. Complainants are not required to demonstrate that they were similarly situated to or in a competitive relationship with hotels or other port users such as taxicabs, limousines, and buses.

For § 41106(2) claims, past Commission decisions have stated that complainants must generally show that the parties were similarly situated or in a competitive relationship. *Id.* at 1270-1271. The Commission has, however, determined in a number of cases that this is not a necessary element for certain § 41106(2) claims. *See, e.g., New Orleans Stevedoring Co. v. Bd. of Comm'rs of Port of New Orleans*, 29 S.R.R. 1066, 1070 n.3 (FMC 2002). Although Complainants have not expressly argued that the first element does not apply to their claim, their brief to the ALJ cited several of the cases in which the Commission had made such a determination to support their argument that the first element was satisfied. Complainants’ Revised Br. at 14, May 1, 2015 (citing *New Orleans Stevedoring Co. v. Board of Comm'rs of the Port of New Orleans*, 2001 WL 865692, *10 (FMC 2001); *Volkswagenwerk v. Fed. Mar. Comm’n*, 390 U.S. 261, 279 (1968); *Credit Practices of Sea-Land Service, Inc.*, 25 S.R.R. 1308, 1313 (1990)). The brief suggests that Complainants misinterpreted these cases as laying out the test for

² The burden of production, however, does shift in unreasonable preference claims. *See Maher*, 33 S.R.R. at 840.

meeting the “competitive relationship or similarly situated” element, when, in fact, those cases describe the situations in which the element does not apply. The ALJ did not address this particular argument or the cases cited, finding that based on the nature of Complainants’ businesses and the other businesses Complainants alleged received preferential treatment, Complainants failed to prove that they were in a competitive relationship or similarly situated with those entities. Initial Decision at 27-32. Although Complainants did not expressly reassert the relevant cases in their Exceptions, the Commission has determined to clarify the status of the first *Ceres* element, the application of which has become the exception rather than the rule in recent cases, particularly in those cases in which preferential or prejudicial treatment by an MTO is alleged.

Over time, the Commission’s decisions with respect to unreasonable preference/prejudice claims (under both the Shipping Act of 1916 and Shipping Act of 1984) have limited the applicability of the “competitive relationship or similarly situated” element, and the Commission has stated that the general principle “is that a competitive relationship . . . is not necessary to establish an unlawful preference within the meaning of [§ 41106(2)] where such preference does not involve a commodity rate, and on its face, is advantageous to a particular group or class of [users] or description of traffic without any justification based on the transportation characteristics of a particular commodity.” *Ceres*, 27 S.R.R. at 1271 (quoting *Credit Practices*, 25 S.R.R. at 1315). In the MTO context, the Commission has not required a showing that two entities are in a competitive relationship or similarly situated when the MTO charge or service applies universally and does not vary according to cargo characteristics. See *Ceres*, 27 S.R.R. at 1271. Examples of such MTO services/charges include wharfage, dockage, crane rental and land rental (*id.* (noting that rather than depend on cargo characteristics, the level of such rates “var[y] according to amount of cargo handled, or with crane service, according to hours of usage”)); free time (*Investigation of Free Time Practices—Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966) (“free time . . . bears no

relationship to the character of the cargo—it is extended to cargo on equal terms without regard to size, shape or any other characteristic inherent in the particular cargo involved”)); and harbor fees (*Louis Dreyfus Corp. v. Plaquemines Port*, 25 F.M.C. 59, 68 (FMC 1982)).

Based on the test laid out in *Ceres* and *Credit Practices*, we believe that the first *Ceres* element does not apply to Complainants’ § 41106(2) claim. The “cargo” being transported is cruise passengers, and the service at issue is access to the terminal to drop off and pick up cruise passengers. Specifically, the Port established two different fee regimes for ground transportation companies, application of which depended solely on the nature of the user’s business. For most ground transportation companies, the access fees depended on the type of vehicle used and the number of trips to the Port. For off-port parking users, the access fees depended on the number of parking spots at their facility. There is no indication that the nature of the service provided by the Port differed materially as between off-port parking users and other ground transportation companies, or that the cruise passengers being transported possessed different characteristics. Accordingly, Complainants in this proceeding are not required to show that they were in a competitive relationship or similarly situated with other ground transportation companies, and we vacate the ALJ’s finding that Complainants failed to prove this element.

3. Complainants demonstrated that they were accorded different treatment from other port users.

Complainants must demonstrate under *Ceres, supra*, that they were accorded different treatment. Complainants showed that during the relevant period, they were accorded different treatment.

On August 28, 2006, the Port amended its Tariff Circular No. 6 to revise the access fee to be paid by off-port parking users, such as Complainants. FF 44. The Port charged the \$8.00 per space per month rate to Complainants, FF 46-49, 56-58, 63, 74, until the \$8.00 per space per month access rate was eliminated and

Complainants' access fees were determined under the same criteria as other ground transportation companies beginning October 1, 2014. *See* FF 75-76.

During the above-referenced period, other ground transportation companies were charged either per each access or were not charged for access, depending on the type of vehicle they used to transport passengers. Hotel shuttles and other commercial buses were consistently charged per access. FF 29, 50, 65. Taxicabs were not charged for access throughout the period. *Id.* Limousines were initially not charged for access. FF 29. From December 17, 2007, to July 1, 2014, limousines were charged a per trip fee if they had a seating capacity of more than nine persons, with the amount varying depending on the vehicles' seating capacity. FF 50, 65. From July 1, 2014, onward, all limousines were charged a per trip fee, with the amount depending on the seating capacity. *See* FF 65.

Complainants also allege that the Port selectively enforced the Tariff by:

- (1) failing to charge hotels as "Off-Port Parking Users" pursuant to the Tariff, (2) charging hotels Access Fees of only \$10 per vehicle access without regard to the size of vehicle accessing the Cruise Terminal, (3) charging other Cruise Terminal users Access Fees of only \$10 per vehicle access without regard to the size of vehicle accessing the Cruise Terminal, (4) failing to collect Access Fees from limousines as required by the Tariff, and (5) excluding limousines of certain capacities from being charged an Access Fee under the Tariff.

Complainants' Exceptions at 23. With respect to the different fee regimes, Complainants were the only port users charged the \$8.00 per space per month access rate throughout the relevant period, while other port users were charged for each access or not charged at all for access in the case of taxicabs or smaller limousines.

Complainants have demonstrated that they were accorded different treatment from other port users.

We disagree, however, with Complainants “exception to the [Initial Decision]’s determination that, despite being ‘Off-Port Parking Users,’ hotels do not have to pay the Tariff required of Off-Port Parking Users based solely on the assertion that neither the Port nor Complainants intended the Tariff to so apply.” *Id.* at 21.

The ALJ stated that “Complainants do not identify any evidence supporting a finding that when the Port amended the tariff, it intended to apply the flat rate to hotels in lieu of the per trip rate already applicable to hotel shuttles.” Initial Decision at 34. The ALJ also stated that “[a]lthough hotels met the definition of off-port parking user . . . , the Port historically recognized a distinction between parking lot operators providing parking to cruise passengers and hotels providing parking to cruise passengers.” *Id.* The ALJ further stated that:

There is no mechanism established by the tariff to determine billable parking spaces for hotel operators that provide parking and transportation for the small percentage of their customers who leave their vehicles in hotel lots while they cruise, but occupy only a very small portion of the hotel’s parking spaces.

Id. at 34-35. The ALJ concluded that the Port did not unreasonably discriminate against Complainants or in favor of hotels when the Port used a per trip rate instead of flat rate to calculate access fees for hotels. *Id.* at 35.

Complainants assert that regardless of whether the Port and Complainants intended to apply Note D’s flat monthly rate to hotels, hotels should have been charged the flat monthly rate per parking space because hotels are off-port parking users under the Tariff. Complainants allege that the Port defined “Off-Port Parking Users,”

and “the terms of the Tariff are clear, definite, and unambiguous.”
Complainants’ Exceptions at 21.

We disagree with Complainants’ arguments and the ALJ’s determination that hotels are off-port parking users under the Tariff. As discussed above, the Tariff defines “off-port parking user” as:

a commercial business entity which provides or arranges for one or more commercial passenger vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

FF 22. Hotels arguably meet the first part of the definition, in that they are “commercial business entit[ies]” that “provide[] . . . commercial passenger vehicles, buses, or shuttles” to the cruise terminal. It is much less clear, however, whether those transportation services are offered “in connection with the operations of a business of a [hotel] involving the parking of motor vehicles.” As noted by the ALJ, the provision of parking spaces is ancillary to the lodging services provided by a hotel, and one would not normally consider parking to be a “business” of a hotel.

Further, looking to the Tariff as a whole, if the definition of off-port parking users is read together with other provisions of the Tariff, it becomes clear that hotels are not considered off-port parking users under the Tariff. The term “off-port parking user” appears in another place of the Tariff. The Tariff defines “Courtesy Vehicle” as:

COURTESY VEHICLE means a commercial passenger vehicle that meets all of the following

criteria at all times when it is operated on property owned, leased or controlled by the Galveston Wharves:

(A) The vehicle is owned or provided by one or more commercial business entities that: (i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities' primary businesses or activities, which may, for example, be off-port car rental user, *off-port parking user*, *lodging*, air transportation, special events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party (which party may or may not be primarily in the business of providing ground transportation); and (iii) all sign the application for the Port Use License and/or Port User Permit for Vehicle, as applicants or co-applicants.

Resp. App. at 19 (emphasis added). This section distinguishes the business of being an off-port parking user from lodging, the latter of which constituting the primary business of hotels (or motels). This distinction indicates that hotels are not off-port parking users in the Tariff. This determination does not, however, change the fact that hotels, as ground transportation companies under the Tariff, were treated differently from off-port parking users like Complainants.

With respect to Complainants' other allegations of different treatment with respect to enforcement of the fee, even assuming that these allegations are true, Complainants have failed to establish that they were the proximate cause of any injury, as discussed in the next section.

4. Complainants failed to demonstrate by a preponderance of the evidence that they suffered any injury.

As an initial matter, Complainants claim that they do not need to demonstrate injury because if the Commission rules that the

Howard Coble Coast Guard and Maritime Transportation Act of 2014 (Coble Act), Public L. No. 113-281, applies to this matter, “Complainants could still be deemed ‘prevailing parties’ upon a showing of Respondents’ violations, and may recover their attorney fees regardless of a showing of actual injury.” Complainants’ Exceptions at 9. As discussed below, the Coble Act only changes when a party is eligible for an attorney fee award. Previously, only complainants were eligible for attorney fee awards, and only if they were awarded reparations. See *A/S Ivarans Rederi v. Companhia de Navegacao Lloyd Brasileiro*, 25 S.R.R. 1061, 1063 (FMC 1990). The revised language in the Coble Act removed the statutory language tying attorney fees to reparations and created a new provision permitting the award of attorney fees to the “prevailing party” in private party complaint proceedings. Final Rule, Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508 (Mar. 1, 2016). In the Final Rule implementing the Coble Act, the Commission explained that “a complainant would generally qualify as the ‘prevailing party’ in a Commission proceeding when the presiding officer awards reparations or issues a cease and desist order.” *Id.* at 10509.

It appears that Complainants are attempting to equate injury with monetary reparations and to suggest that the conditions necessary to be eligible for an attorney fee award are somehow relevant to the elements necessary to prove a violation of § 41106(2). Contrary to Complainants’ assertions, the relevant Coble Act amendments were limited to the conditions for obtaining an attorney fee award; they did not affect the requirement that Complainants must demonstrate the *Ceres* elements in a § 41106(2) claim, including that the Port’s unreasonable preference or prejudice caused Complainants to suffer injury.

Complainants claimed that they suffered the following injury because of Respondents’ conduct:

First, by granting other ground transportation companies and “Off-Port Parking Users” undue and

unreasonable preference and advantage in the assessment of Access Fees prescribed by the Tariff and relied upon by Complainants in the decision making and operation of their businesses, . . . Second, . . . Complainants were injured by being caused to subsidize other Cruise Terminal users' use of the Cruise Terminal . . .

Complainants' Exceptions at 9.

As the ALJ determined, "Complainants' argument does not prove by a preponderance of the evidence that Complainants suffered actual injury from use of the flat rate." Initial Decision at 47. As the ALJ stated, a parking lot operator "would only suffer actual injury if it paid more in access fees for a particular month calculated at the \$8.00 per space flat rate than it would have if it were charged at the [per trip rate], and its measure of damages would be the difference between the two amounts." *Id.* at 38.

We note that Note D and the \$8.00 per space per month fee was agreed to by the Complainants and the Port after protracted negotiations. These negotiations stemmed from Complainants' assertion that the \$10.00 per trip fee was "too high," which would suggest that Complainants anticipated that the fee mechanism ultimately agreed upon would result in lower fees for the Complainants. *See* FF 36.

The record supports Respondents' contention that the \$8.00 per space per month fee did in fact result in lower fees for the Complainants compared to the per trip fee system. After Complainants and the Port agreed to the monthly flat access fee, the Port "stopped counting the trips of Complainants' shuttles because the number of trips was not needed to calculate the access fee." FF 54. Therefore, the only period when we can validly compare the difference between per trip access fees incurred by Complainants and the monthly flat access fees actually paid by Complainants was from January 1, 2005, when the Port started to charge Complainants

per trip access fees by counting the actual number of trips by each Complainant to the terminal (which Complainants refused to pay), to mid-2006 when Complainants and the Port agreed to the \$8.00 per space monthly flat access fees. Using the \$10.00 per trip rate, “the Port had invoiced EZ Cruise a total of \$87,930.00 for access to the port between January 2005 and June 2006. As a result of the application of the \$8.00 per space per month access provision, EZ Cruise paid \$35,680.00 for access between January 2005 and June 2006, saving \$52,250.00.” FF 47. “The Port had invoiced Lighthouse a total of \$14,230.00 for access to the port between January 2006 and June 2006. As a result of the application of the \$8.00 per space per month access provision, Lighthouse paid \$9,120.00 for access between January 2006 and June 2006, saving \$5,110.00.” FF 48. “The Port had invoiced Dolphin a total of \$25,430.00 for access to the port between July 2005 and June 2006. As a result of the application of the \$8.00 per space per month access provision, Dolphin paid \$11,520.00 for access between July 2005 and June 2006, saving \$13,910.00.” FF 49. The reduction in fees paid by the Complainants under the \$8.00 per space per month fee compared to the per trip fee during this period (the only period for which the number of trips taken by Complainants is known) demonstrates that Complainants benefited from the Port’s \$8.00 per space per month flat access fees.

In addition, the ALJ correctly noted that “[t]he most glaring omissions from Complainants’ analysis is that it fails to factor in the transportation benefit to their customers resulting from Complainants’ right to unlimited access to the terminal.” Initial Decision at 45. Note D allowed Complainants unlimited access to the cruise terminal, and the evidence in the record suggests that Complainants took advantage by increasing the frequency of shuttles to the Port. See Resp. App. at 2450 (deposition of Jason Hayes). Complainants’ customers did not have to wait until the shuttle buses were full because Complainants could make as many trips to the terminal as they wanted. The unlimited access under the monthly flat fee might have benefitted the Complainants by maximizing customer satisfaction through prompt service while

minimizing customer complaints of delayed service. Without considering the benefit the unlimited access gave to Complainants, their allegation of injury appears to be a mere speculation.

Based on the foregoing, Complainants have failed to demonstrate that they suffered any injury resulting from paying the \$8.00 per space per month fee as opposed to per trip fees.³

Complainants further allege that they were injured “by being caused to subsidize other Cruise Terminal users’ use of the Cruise Terminal.” Complainants’ Exceptions at 9. It appears that Complainants are alleging that the Port’s “selective enforcement of the Tariff” caused them injuries by indirectly causing them to subsidize other port users’ use of the Terminal. Initial Decision at 23.

Even if Complainants’ allegations that Respondent selectively enforced the tariff are true, we agree with the ALJ’s conclusion that the Complainants’ have failed to show that any alleged selective enforcement caused them injury. From mid-2006 to October 1, 2014, Complainants have paid the \$8.00 per space per month access fee they agreed on with the Port in 2006. Complainants have failed to show that they would have paid less in fees if the alleged selective enforcement had not occurred or to establish any other injury to them resulting from the alleged selective enforcement.

5. The Port is not required to show that the unequal treatment between Complainants and other port users was justified.

To demonstrate an unreasonable preference or prejudice, Complainants have the initial “burden of proving that [they were] subjected to different treatment and [were] injured,” at which point

³ Complainants do not allege that the 2014 increase of the access fee to \$28.88, which was later rescinded by the Port and never applied to Complainants, caused any injury to them. See Complainants’ Exceptions at 8.

the burden of production shifts to Respondents to “justify[] the difference in treatment.” *See Ceres*, 1251 S.R.R. at 1271.

As discussed above, even though Complainants showed that they were accorded different treatment, they failed to demonstrate that they suffered any injury as a result of the different treatment. Therefore, an inquiry into whether the different treatment was justified is unnecessary.

D. The Commission defers decision on the issues relating to attorney fees.

Finding that Congress amended the Shipping Act’s attorney fees provision through the Coble Act, the ALJ stated that “a prevailing complainant or respondent may be awarded attorney fees.” Initial Decision at 53. After dismissing Complaint, the ALJ also stated that “the Port is the prevailing party in this proceeding and may be awarded reasonable attorney fees for attorney services performed after the effective date of the Coble Act.” *Id.* at 54. The ALJ finally stated that “[d]etermination of the fee awarded, if any, is deferred until the Commission decision is final.” *Id.*

Complainants alleged that while they were “guaranteed recovery of their attorneys fees from Respondents” at the time they filed their Complaint, they would lose their statutory right to recovery of attorney fees after the enactment of the Coble Act. Complainants’ Exceptions at 25. Complainants claimed that “it is unfair to require Complainants to both plead and prove reparations in order to recover their attorney fee, while not requiring the same of Respondents.” *Id.* at 26. Complainants further claimed that “where application of the Coble Act to this matter would give rise to retroactive affects, the long-standing presumption against retroactivity should preclude such application.” *Id.* at 31.

We believe that it would be premature for the Commission to decide these issues at this time. The case is not final under Rule 254 of the Commission’s Rules of Practice and Procedure (46

C.F.R. § 502.254) upon issuance of this decision, i.e., a party could file an appeal of the Commission's decision with a U.S. Court of Appeals, and no fee petition has yet been filed, the deadline for which would be 30 days from the date the decision is final. Thus, even if the Commission were to affirm the ALJ's finding that Respondents are eligible for attorney fees, the Commission would still need to determine, in response to a fee petition, whether Respondents are entitled to such fees and whether the asserted fees are reasonable. We believe that it is preferable to decide the issues of eligibility, entitlement, and reasonableness of specific attorney fees asserted in a single decision responding to a fee petition.

In addition, we note that the Exceptions and Reply to Exceptions were filed prior to the Commission's March 1, 2016, final rule implementing the Coble Act, which provided guidance on the Commission's interpretation with respect to many of the issues argued by the parties, and prior to the issuance of the Commission's September 14, 2016, order granting attorney fees in *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, the first Commission decision on attorney fees post-Coble Act. Order Granting Petition for Attorney Fees, Docket No. 14-04. The parties may benefit from reexamining their arguments in light of the final rule and the *Edaf* decision and would have the opportunity to assert those arguments as part of the fee petition process.

IV. CONCLUSION

THEREFORE, IT IS ORDERED, That the Initial Decision is, except as to the ALJ's determination with respect to the first *Ceres* element, affirmed, Complainants' § 41106(2) claims against Respondents are denied, and their Complaint is dismissed with prejudice.

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.

Rachel E. Dickon
Assistant Secretary